policy rate by 0.5 per cent instead of by 0.25 per cent as was widely expected, on the assurance of Pranab Mukherjee that he would aggressively prune subsidies and deliver a fiscal performance better than he had indicated in the budget. If that was the case, why indeed did he not make a tougher commitment in the budget itself, I asked. He could not show such drastic fiscal consolidation in the budget, he told me, because of political compulsions. It so happened that he moved on from the finance ministry to Rashtrapati Bhavan two months later, even as fiscal deterioration continued to put pressure on prices. With that experience still fresh in my mind, I was clearly unwilling to front-load another rate cut by relying entirely on the promise of fiscal rectitude. I consulted my senior colleagues and found that we were all on the same page.

My refusal to fall in line had evidently upset Chidambaram enough to do something very unusual and uncharacteristic—to go public with his strong disapproval of the Reserve Bank's stance. In his 'doorstop' media interaction outside North Block about an hour after the Reserve Bank put out its hawkish policy statement expressing concern on inflation, he said: 'Growth is as much a concern as inflation. If the government has to walk alone to face the challenge of growth, we will walk alone.'

Sure enough, Chidambaram's ire at having been abandoned to 'walk alone' created quite a flutter in the media. I was on notice therefore for the first question put to me in the scheduled post-policy media conference later that afternoon. Clearly reluctant to fan controversy during a difficult economic period, I papered over the differences, saying: 'The government and the Reserve Bank have shared goals. Both of them want high growth and low inflation. Differing perceptions on how to achieve these goals are common across many countries in the world.'

Chidambaram and I were together in Mexico less than a week after that for a G20 meeting. The ambassador of India in Mexico, Sujan R. Chinoy, graciously hosted a dinner for the Indian delegation to provide an opportunity for the finance minister to meet some of the leading public figures and businesspersons of Mexico. When Chidambaram arrived, he